

SECTION 01

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The condiment market

01 The market

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02 The players

04 The realities of launching

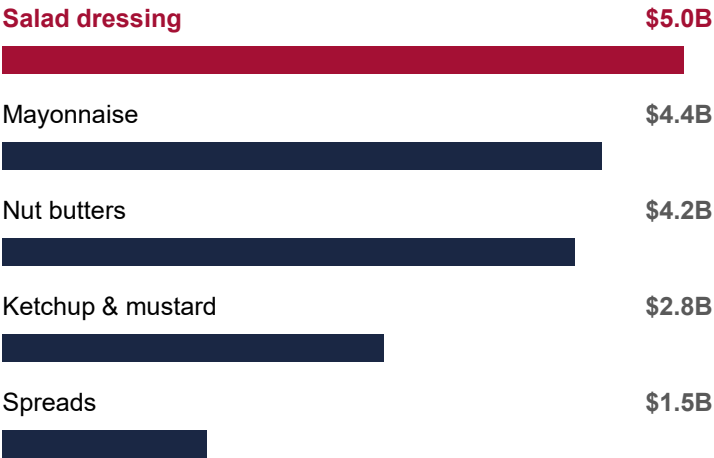
How big is the condiment market and how does salad dressing fit in?

THE US CONDIMENT MARKET

\$17.9B (2024)

Projected to grow to \$20.1B by 2029
forecast CAGR **2.4%**

RETAIL SALES BY SEGMENT, 2024



Excludes salsa, soy sauce, cooking sauces, pasta sauce and marinades

SALAD DRESSING

The single largest segment:
28% of all condiments

\$5.0B → \$5.7B

retail sales (2024)

retail sales (2029)

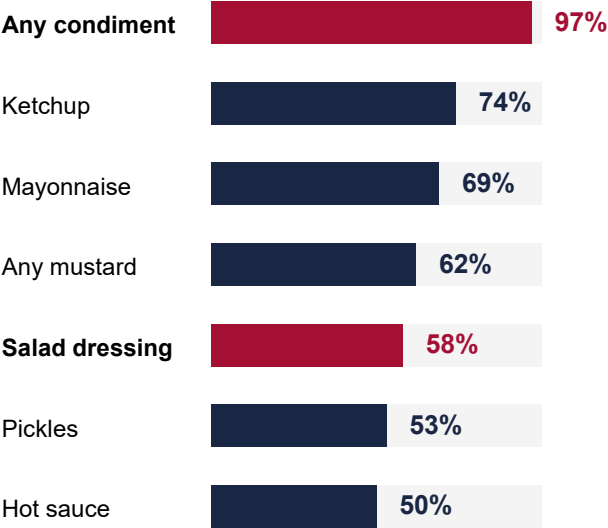
forecast CAGR **2.6%**

DEMAND DRIVERS

- 1 Healthy formulations**
Shift to more healthful, nutrient-dense foods; clean, plant-based and better-for-you recipes command premium price points
- 2 Flavor-profile innovation**
Cuisine exploration and global inspirations lead (tahini, chimichurri and sesame-ginger moving mainstream)
- 3 Packaging innovation**
Dual-flavor squeeze bottles and sustainable containers differentiate on the shelf
- 4 Home cooking**
Greater reliance on home cooking to manage tight household budgets

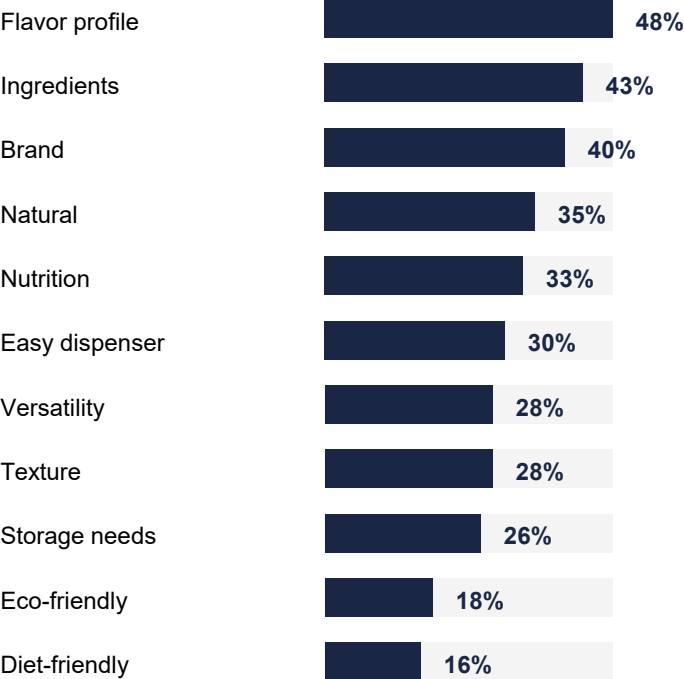
How do people use condiments?

EATEN IN PAST 6 MONTHS (n=2,001)

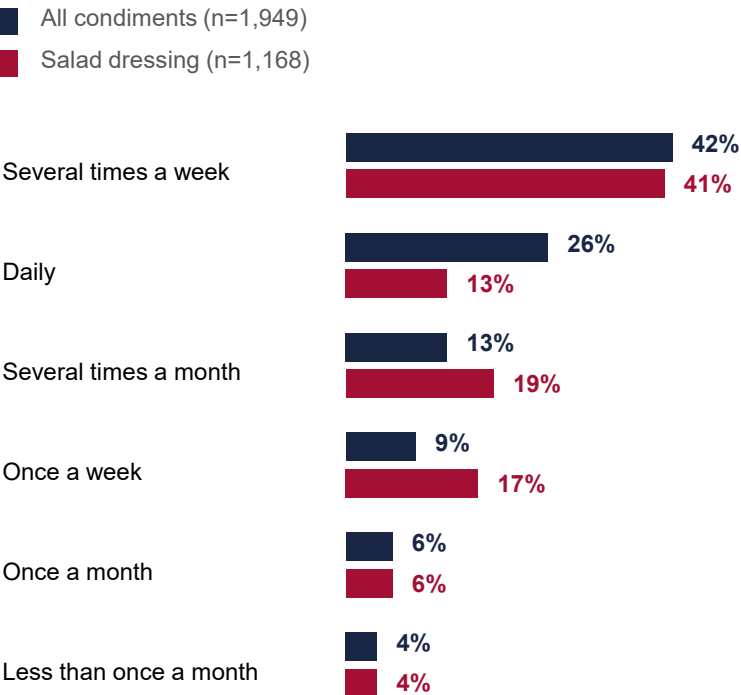


Condiments have 97% household penetration

WHAT MATTERS WHEN CHOOSING (n=1,965)



FREQUENCY OF CONSUMPTION



UNIVERSAL, FREQUENT AND FLAVOR-LED

68% of condiment users and 54% of salad dressing users reach for them **daily or several times a week**
When choosing, **flavor profile and ingredients lead**

How do condiments compete across use occasions?

US CONDIMENT USE OCCASIONS, 2026 (% OF USERS)

	Salad dressing	Ketchup	Hot sauce	Mayonnaise	Mustard
For dinner	58	47	49	40	41
For lunch	48	48	41	52	50
As a flavor booster	35	30	50	26	36
As a dip	29	29	26	25	18
In a recipe	28	29	34	36	34
As a marinade	26	13	19	12	18
On a sandwich / burger / wrap	25	53	32	59	57
As an ingredient in a sauce	21	29	35	29	29
When entertaining	20	23	22	21	24
To add texture	12	10	14	12	11
For breakfast	8	21	24	14	13

ACROSS OCCASIONS:
THE HEALTH-TASTE LICENSE

78%
agree condiments make **healthier**
foods **taste better**

Dressing owns the dinner occasion, with lunch closely behind. Breakfast occasions are limited

How does condiment demand shift by generation?

ALL CONDIMENTS	Gen Z		Millennials		Gen X		Baby Boomers	
	USAGE		USAGE		USAGE		USAGE	
	Daily use	26%	Daily use	30%	Daily use	28%	Daily use	18%
	Several times a week+	61%	Several times a week+	70%	Several times a week+	72%	Several times a week+	69%
	ATTITUDES, % AGREE		ATTITUDES, % AGREE		ATTITUDES, % AGREE		ATTITUDES, % AGREE	
	Enjoy trying new condiments	81%	Enjoy trying new condiments	79%	Enjoy trying new condiments	65%	Enjoy trying new condiments	51%
	Pay more for quality	80%	Pay more for quality	76%	Pay more for quality	56%	Pay more for quality	50%
	Good way to explore new flavors/cuisines	82%	Good way to explore new flavors/cuisines	81%	Good way to explore new flavors/cuisines	76%	Good way to explore new flavors/cuisines	73%
	Smaller package sizes would make more likely to try new	76%	Smaller package sizes would make more likely to try new	76%	Smaller package sizes would make more likely to try new	57%	Smaller package sizes would make more likely to try new	54%
	USAGE		USAGE		USAGE		USAGE	
SALAD DRESSING	Consumed in past 6 months	33%	Consumed in past 6 months	49%	Consumed in past 6 months	75%	Consumed in past 6 months	79%
	Daily	25%	Daily	17%	Daily	10%	Daily	9%
	Several times a week+	60%	Several times a week+	64%	Several times a week+	51%	Several times a week+	48%
	ATTITUDES, % AGREE		ATTITUDES, % AGREE		ATTITUDES, % AGREE		ATTITUDES, % AGREE	
	Prefer to make own over store-bought	70%	Prefer to make own over store-bought	59%	Prefer to make own over store-bought	33%	Prefer to make own over store-bought	24%

- TAKEAWAYS
- 1

THE GENERATIONAL READ
Younger consumers (Gen Z and Millennial) used **store-bought** salad dressing **less** in the last 6 months than older age groups (only 33-49% consumed), but those who do have **heavy repeat** use (60%+ several times a week or more) and are far more **open to trying new** products, exploring new flavors & **paying up for quality** than older generations
- 2

RETAILER LENS: BRING BACK YOUNGER CONSUMERS TO THE CATEGORY
Opportunity to attract **new** high-value, premium-receptive **young demographics** to the dressing category who **currently make their own dressings at home (~60-70% today)**
- 3

TRIALABILITY
Opportunity to **play with smaller package** sizes to attract new consumers (1 in 4 Gen Z and Millennials bring **their own condiments** to **restaurants**, especially hot sauce or vegan options)

Sources: Mintel, January 2026 (Q2/Q4 frequency by generation; Q9 attitudes NET-agree by generation, base 1,979).
Several times a week+ = daily or several times a week.

How are GLP-1 drugs reshaping condiment demand?

1 PROTEIN PAIRING

Lean protein needs flavor

60%+ of GLP-1 users seek protein-rich foods

Packaged and fresh protein purchases are up 35% and 34%

2 HIGH-FIBER FOCUS

The digestive lens

80% GLP-1 users take products to support digestion (fiber, gut-health, laxatives)

GLP-1 users over-index on functional food

3 TASTE

Changes to taste

85% report changed food preferences

Tastes dull and shift to savory and umami

4 PORTIONS

Every bite counts

Fewer calories a day pushes flavor onto smaller portions

Demand for lower-calorie condiments rising

The GLP-1 wave is manufacturing a large, functional-hungry, **digestion-strained** audience in need of flavor enhancement that **pairs with high-protein and high-fiber** diets

SECTION 02

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The condiment players

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How do condiment brands position themselves?

STRATEGY	WHAT IT SAYS	WHO PLAYS HERE
Authenticity / heritage / flavor exploration	Flavor, tradition, "restaurant quality"	Cholula, Bachan's
Better-for-you / free-from / clean	Health by upgrading ingredients: avocado oil, lower sugar Subtraction: no seed oils, no sugar, no dairy	Primal Kitchen, Tessemae's, Bragg, Sir Kensington's, SideDish
Functional / additive	"It does something for you" (addition)	She's the Sauce, Cleveland Kitchen, Toby's
Packaging innovation	New packaging and delivery, sustainability	SABE, AWSM Sauce
Chef-inspired / celebrity-backed	The chef or celebrity name	Momofuku (David Chang), TRUFF (Kim Kardashian), Ayoh! (Molly Baz)
Mainstream / value / ubiquity	Ubiquity and price: the default everyone buys	Heinz, Hidden Valley, Hellmann's, Wish-Bone, Marzetti, Litehouse, private label

THE FUNCTIONAL LANE

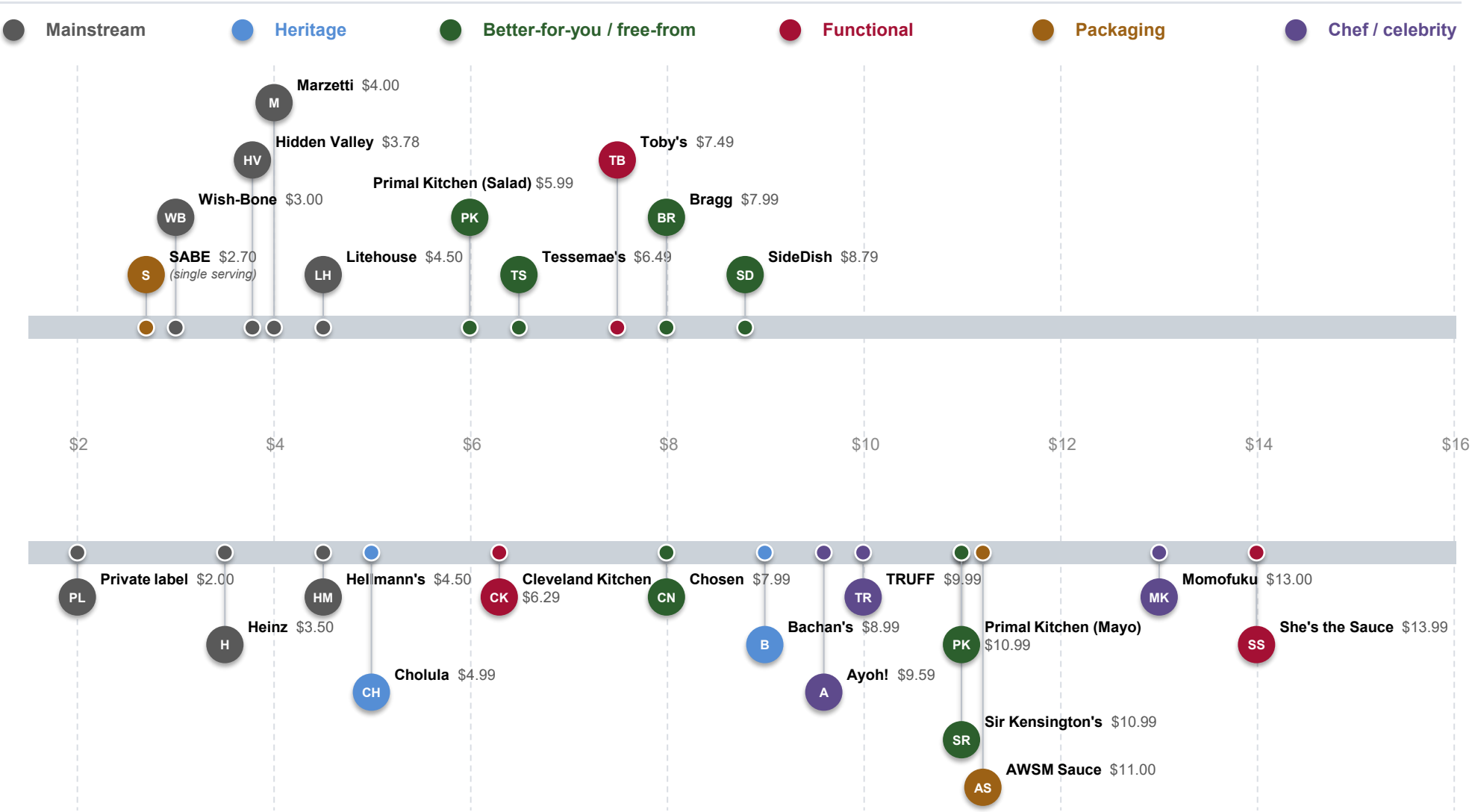
Functional is one of the hardest with FDA claim rules plus the "healthy tastes worse" perception

Usually leads with taste and clean-label first, with the functional benefit as the reason to stay rather than a front-of-pack callout

How do condiment prices compare across brands?

SALAD DRESSING

OTHER CONDIMENTS (e.g., Mayo, Ketchup, Other Spreads)



Mainstream brands crowd the floor (~\$2 to \$5) in mass grocery; **better-for-you, functional, packaging innovation** and **chef / celebrity** command **premium pricing**
Price varies by **condiment type** (salad dressing skews toward lower price points, mayo-based condiments skew toward higher price points)

Source: approximate representative shelf prices (Amazon / retail, 2026); container sizes vary by product

Salad dressing deep dive: which brands hold the shelf and who's coming for it?

LEGACY DRESSING BRANDS | US MULO \$ SHARE + YoY, 52 WKS TO OCT 2025

BRAND	PARENT	SHARE	YoY GROWTH
Hidden Valley	Clorox	24.6%	▼2.4%
Ken's	Ken's Foods	11.6%	▼1.2%
Kraft	Kraft Heinz	8.6%	▼11.2%
Primal Kitchen	Kraft Heinz	1.3%	▲19.8%
Good Seasons	Kraft Heinz	1.3%	▼3.2%
Marzetti	Lancaster Colony	8.9%	▼3.3%
Girard's	Lancaster Colony	0.5%	▼9.3%
Cardini's	Lancaster Colony	0.3%	▼12%
Wish-Bone	Conagra	5.9%	▼1.5%
Litehouse	Litehouse	4.4%	▼0.8%
Private label	Retailers	15.4%	▲0.2%
Others	Various	16.4%	



WHO IS TAKING SHARE?

Smash Kitchen

Glen-Powell Walmart-exclusive condiment line



TRUFF

“Luxury” truffle sauces and condiments



She's the Sauce

High-protein, high-fiber functional sauces



SABE

Single-serve sauce and dressing pouches



AWSM Sauce

Powdered, just-add-water sauce mixes



Legacy brands still hold the shelf but are **eroding**
The **only gainers** are **private label** and **Primal Kitchen**

Insurgents drive growth in the category
Salad dressing has **low barriers to entry**
Capital, new brands and celebrities are all pouring in

Which challengers have been acquired?



Sources: company releases; Food Dive, FoodBev, BusinessWire.

How does category ownership look today?

OWNED BY BIG FOOD	OWNED BY PRIVATE EQUITY	STILL INDEPENDENT
Kraft Heinz Heinz, Grey Poupon, Primal Kitchen	Advent Intl Duke's Mayo (Sauer)	Graza
McCormick French's, Frank's, Cholula, Stubb's	Highlander Tapatio	Fly By Jing
Unilever Hellmann's, Best Foods, Sir Kensington's	Butterfly Equity Chosen Foods	Momofuku Goods
Conagra Wish-Bone, Hunt's	HKW / PANOS Tessemae's	Mike's Hot Honey
Clorox Hidden Valley Ranch	Swander Pace Bragg	True Made Foods
Marzetti Marzetti, Bachan's		Yellowbird

Nearly every brand in the first two columns arrived by acquisition. Several that still read as independent are quietly private-equity owned (Tessemae's, Chosen, Bragg)

How did Primal Kitchen grow from paleo mayo to a \$200M exit?

Founded 2015, Mark Sisson and Morgan Buehler · hero: avocado-oil mayo · clean-label, paleo positioning · exit: Kraft Heinz, ~\$200M (2019)

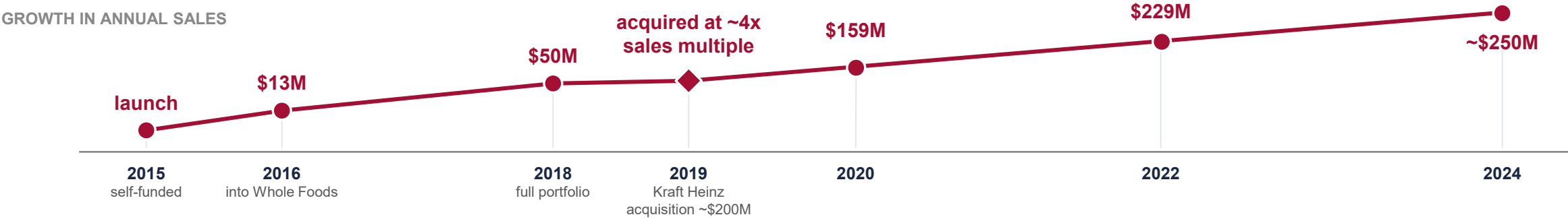
THE PLAY

Built for paleo, keto and protein-forward eaters (i.e., real food, no seed oils, no refined sugar)
Seeded a DTC community from Mark Sisson's paleo following, then scaled into Whole Foods
Grew on sampling and experiential (food trucks, retail media, influencers), not paid social. Sampling reached 200K+ at ~83% purchase intent
"Rather than start with a price point and back our way into ingredients and figure out the compromises that we would need to make ... [I said,] 'Let's build the best possible product, and we'll price it [once] we know that it contains no bad ingredients, that it tastes great.'" · Mark Sisson

TAILWINDS AND HEADWINDS

Tailwinds: paleo, keto and Whole30 boom; the seed-oil backlash; avocado-oil premiumization; high-protein and collagen demand

Headwinds: a premium price in a mass aisle, and clean-label going mainstream, which drew a wave of imitators



Platform Growth: Extended beyond mayo to dressings / marinades, ketchup, BBQ and steak sauces, avocado oil and collagen and protein

Sales up over **5x** since 2019 acquisition
One of the few retail-based dressing lines with **positive growth YoY**

Sources: CNBC / FoodNavigator (Kraft Heinz, \$200M); Mintel Condiments US 2025 (MULO); company history; brand case study.

How did Bachan's grow from a home kitchen to a \$400M exit?

Founded 2019, Justin Gill (family recipe) · hero: Japanese barbecue sauce · DTC-first, #1 BBQ on Amazon · exit: Marzetti / Lancaster Colony, ~\$400M (2026)

THE PLAY

One product, one category. A versatile Japanese BBQ marinade, positioned for proteins (grilling, meats, plant proteins)

DTC-first, became the #1 BBQ sauce on Amazon, then scaled to 2,500+ retail doors

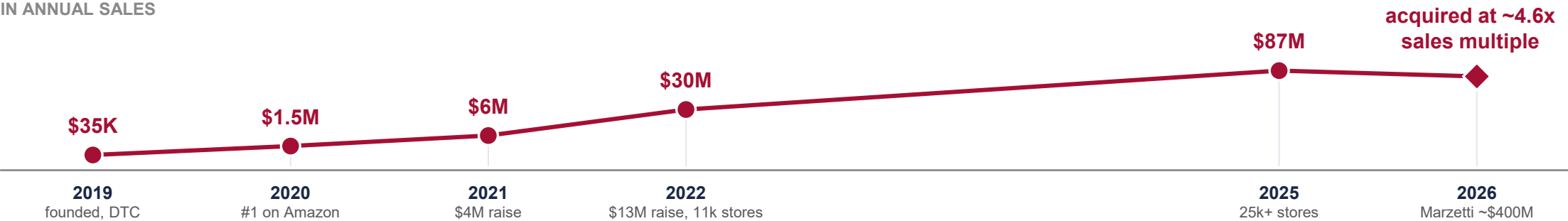
Amplified by a celebrity investor round (Prelude Growth, 2021: Ryan Tedder, Aaron Paul and others), not paid media

TAILWINDS AND HEADWINDS

Tailwinds: Asian flavor is the fastest-growing sauce segment; high-protein and GLP-1 demand (a “GLP-friendly” marinade)

Headwinds: single-category concentration, and scaling a family recipe at a premium price

GROWTH IN ANNUAL SALES



Raised a total of \$17M

Marzetti paid ~\$400M for a high-growth, GLP-friendly brand (i.e., protein-pairing sauce)

GLP-1 is now a buy-side driver with products supporting GLP-1 consumers named explicitly as an in-demand acquisition category

SECTION 03

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The thesis

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Salad dressing for a high-protein, high-fiber diet

Enzyme-rich, better-for-you and functional, premium-priced and flavor-first, built for heavy repeat use

THE CUSTOMER

- ICP **Gen Z** and **Millennials** eating high-protein, high-fiber meals who want digestive support, especially those who **experience occasional digestive discomfort** (~80%) or are GLP-1 users with GI side effects
- Speaks to the **78%** of people who say **condiments make healthier foods taste better**

MOAT POTENTIAL

- **Enzyme / functional layer** with **stability** science, **GRAS**, an enzyme-capable **co-man**, and **formulation IP**
- Room to extend into chef-inspired and celebrity-backed lines later

RIDES TIMELESS TRENDS

- Macros, protein, the fiber surge and mainstreaming gut health with durable behavior
- Enzymes help **digest** the very **fiber and protein** people are **consuming more of**
- Consuming 30+ plants per week **supports gut microbiome health**

HOW IT WINS

- Test single-serve formats for convenience and trial (e.g., SABE pouch, Liquid IV mix-in)
- Build brand around **fun**, **luxury** and **wellness identity** (e.g., Touchland, Poppi) rather than medicinal positioning (e.g., FODZYME)
- Prove velocity cheaply first with DTC, Amazon, and single-serve trial in foodservice
- **Win retailers** by **bringing young consumers** with high willingness to spend **back to the category**

Digestive enzymes (e.g., FODZYME) + clean ingredient formulation (e.g., Primal Kitchen) + brand that appeals to Gen Z and Millennial consumers (e.g., Poppi) + convenient formats (e.g., SABE)

SECTION 04

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The realities of launching

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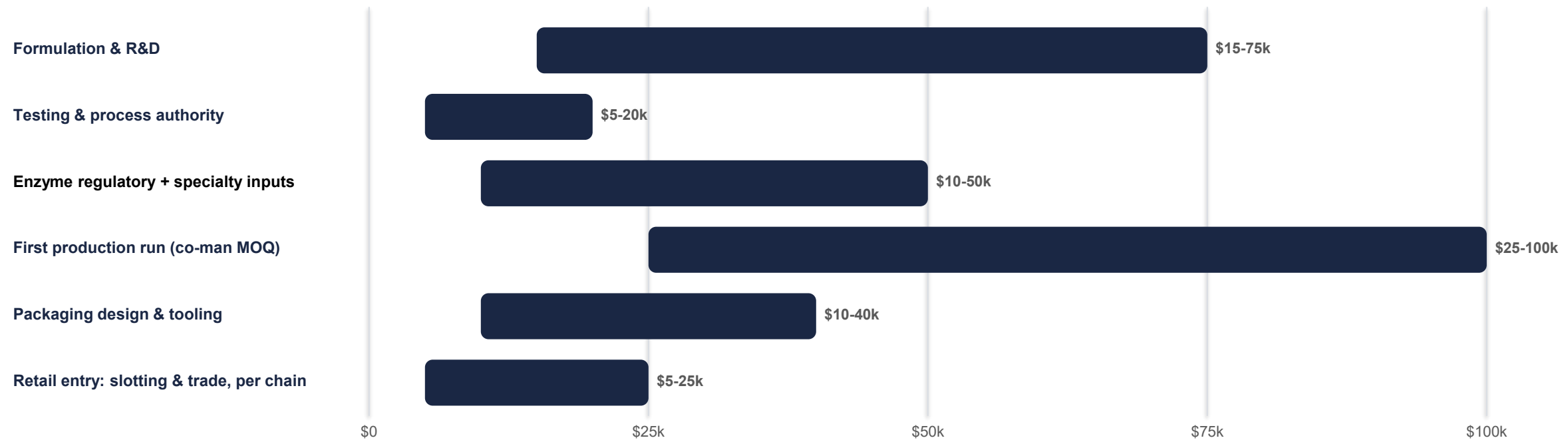
[To Validate] How long might a functional condiment take to develop? Who is involved?



Does the enzyme survive? Test with a small stability run of the active in a real dressing matrix
Can it be made? Secure a pilot run with an enzyme-capable co-manufacturer
Will people pay? A DTC and single-serve test at premium price; watch repeat rate and price elasticity

Opportunity to incorporate customer and co-manufacturer feedback before full launch

[To Validate] How much does it cost to develop a functional condiment?



High-level estimate of first SKU is **~\$75k to \$300k** and **depends on the size of the pilot**. The enzyme layer (GRAS, stability work and a co-man willing to run it) is what separates this from a standard sauce

What does each stakeholder want? Where is the friction?

PLAYER	WHAT MOTIVATES THEM	THE REALITY FOR A YOUNG BRAND	WHERE YOUR LEVERAGE IS
Food chemistry / product development	A solvable, scalable formula (and repeat work)	The enzyme step is non-standard; balancing stability, taste and clean-label is challenging	Own the brief and the formula IP
Ingredient / enzyme suppliers	Volume commitments	High minimum order quantities, GRAS required; enzyme costs may drive margin swing	Comes with scale
Co-manufacturers	Steady, high-volume runs	Impose minimums; resist the non-standard enzyme step	Low early; court smaller co-packers, pay for a pilot
Quality, safety & compliance	Standards met, risk contained	GRAS, shelf-life validation and claim substantiation required	Clearing early is a moat others must also cross
Distributors (UNFI, KeHE)	Margin plus velocity	Take a cut, gate retail, charge slotting	Bring demand, they bring doors
Retailers / channels	Dollars per shelf-inch, velocity, attracting new customers	Slotting fees, trade spend, must prove velocity	DTC traction, collaborate on new products to meet retailer needs, attract new customers to the category

Early leverage: strong brand and community, validated formula and stability, demonstrated demand and repeat purchasing

What are the watchouts? Why are the unit economics challenging early on?

THE WATCHOUTS

Enzyme survival

Does the active stay stable and efficacious across shelf life in a real dressing? The heat and pH that make a sauce safe also denature enzymes

Willingness to pay

Is an in-food digestive benefit compelling enough to command a premium and repeat purchase?

Regulatory & claims

GRAS self-affirmation for the enzyme, plus substantiation for any digestive-benefit claim under FDA structure/function rules

Manufacturing access

Few co-manufacturers will run a non-standard enzyme step, and minimums hit before demand is proven

Shelf-life vs clean label

Removing preservatives shortens life; hot-fill preservation can kill the enzyme

THE UNIT ECONOMICS

1 Of the \$12 shelf price, you collect ~\$5 net revenue

Retailer ~\$4.50	Distr. + trade ~\$2.50	You collect ~\$5.00
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At a \$12 shelf price, the retailer and middlemen take ~60% before you see a dollar

2 Gross margin is measured on the \$5 of net revenue, not \$12

COGS ~\$2.50	Gross margin ~\$2.50 = 50%
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A 50% gross margin means COGS lands near \$2.50

Gross Margin Improvement Takes Time

Industry benchmark: 50% gross margins. You only collect \$5 net revenue. To achieve 50% gross margins, COGS have to land near \$2.50 (about a fifth of shelf price)

The early reality. Early on, gross margins are estimated at ~20% given high cost premium ingredients and lack of manufacturing efficiency. Margins improve with scale (takes several years), so pricing power and COGS discipline are critical